

Day 3 Internship Notes

Date: 03-06-2026

Work Start time

9:00am

Today's Objective

- Candle Sticks Patterns.
- Support / Resistance in detail.
- Analyze Market trends using DeepVue: The 21EMA Strategy.

Topic 1: Candlestick Patterns:

Candlestick patterns are visual representations of price action that help traders understand the battle between buyers and sellers during a specific time frame. Each candle shows four important values: open, close, high, and low price. Candlestick analysis is mainly used to identify reversals, trend continuation, and market sentiment.

Green candles generally indicate buyer strength, while red candles represent seller dominance. Large candles indicate strong momentum, whereas long wicks show rejection of a particular price level.

Bullish Reversal Patterns

Bullish reversal patterns suggest that buyers are gaining control and the market may move upward.

Hammer

A hammer has a small body with a long lower wick. It shows that sellers initially pushed the price down, but buyers regained strength and pushed the price back upward before the candle closed. This pattern becomes stronger near support levels.

Bullish Engulfing

This is a two-candle pattern where a large green candle completely engulfs the previous red candle. It indicates strong buying pressure and a possible bullish reversal.

Tweezer Bottom

This pattern consists of a red candle followed by a green candle with similar lower wicks. It shows that the support area is being respected and buyers are defending the price level.

Dragonfly Doji

This pattern has a long lower wick with opening and closing prices near the same level. It represents rejection of lower prices and possible buyer strength.

Bearish Reversal Patterns

Bearish reversal patterns indicate that sellers are taking control and the market may move downward.

Shooting Star

A shooting star has a small body with a long upper wick. It shows that buyers pushed the price upward, but sellers forced the price back down before closing.

Bearish Engulfing

This pattern occurs when a large red candle completely engulfs the previous green candle, indicating strong seller dominance.

Tweezer Top

A green candle followed by a red candle with matching upper wicks forms a tweezer top. This indicates strong resistance and rejection of higher prices.

Momentum and Continuation Patterns

Momentum Candle

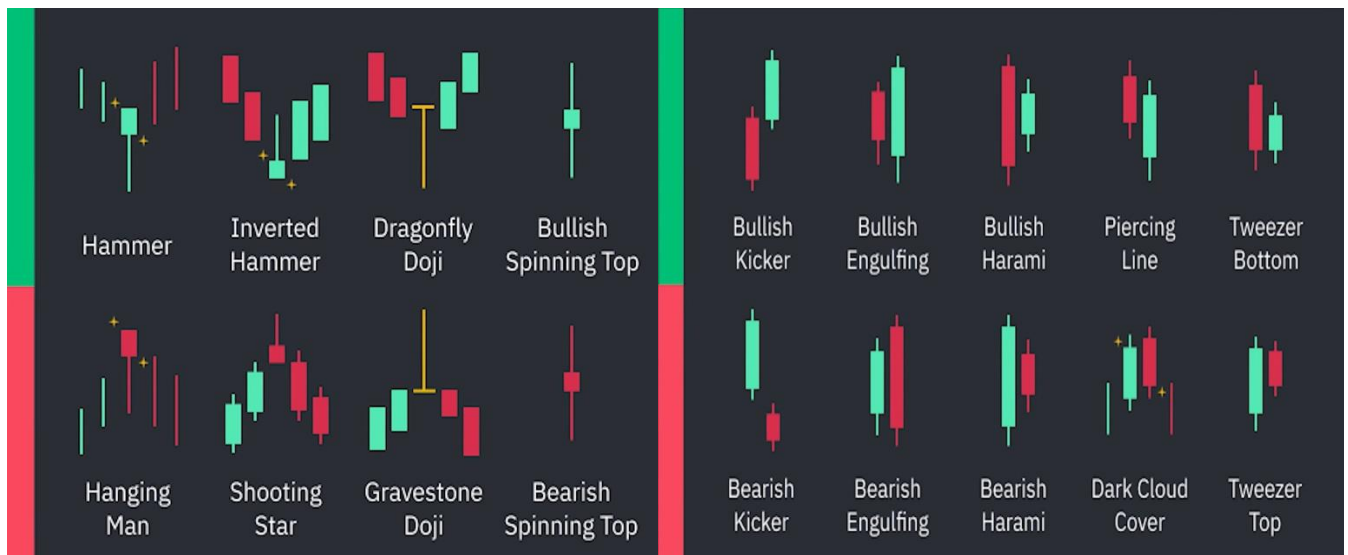
A momentum candle is significantly larger than previous candles and usually signals strong buying or selling activity. In sideways markets, momentum candles often begin new trends.

Marubozu Candle

A Marubozu candle has a large body with no wicks, showing complete control by buyers or sellers throughout the session.

Multiple Candle Confirmation

When multiple candles repeatedly reject the same area using their wicks, it strengthens the reliability of that support or resistance zone.



Topic 2: Support and Resistance

Support and resistance are important concepts in technical analysis that represent key price levels where market behavior changes.

- Support acts like a floor where buying pressure becomes strong enough to stop price from falling further.
- Resistance acts like a ceiling where selling pressure becomes strong enough to stop price from moving higher.

These levels are important because traders often react emotionally around these zones, making them psychological areas in the market.

Role Reversal Principle

One of the most important concepts learned was role reversal.

- Broken support often becomes new resistance.
- Broken resistance often becomes new support.

This happens because traders who were trapped in losing positions try to exit when price returns to their entry level, creating new buying or selling pressure.

Drawing Support and Resistance

Support and resistance should be treated as zones rather than exact lines.

In Range Markets

The major highs and lows of the range are used to identify key support and resistance zones. The “Most Touches Rule” states that levels become stronger when price reacts multiple times from the same area.

In Trending Markets

Recent swing highs and swing lows are used to identify possible pullback areas and trend continuation zones.

Minor levels should be avoided because too many levels can create confusion and poor trade decisions.

Topic 3: Analyse Market Trend Like a Pro – The 21 EMA Strategy (Deepvue tutorial)

The 21 EMA (Exponential Moving Average) Strategy is used to identify market trends and manage trading risk. The strategy helps traders determine whether market conditions are favorable or weak.

The core idea of the strategy is:

- Be aggressive during strong trends.
- Be defensive during weak market conditions.

The 21 EMA reacts faster to price movement than a simple moving average, making it useful for identifying trend direction and momentum.

Aggressive and Defensive Phases

Aggressive Phase:

When price remains above a rising 21 EMA, it indicates a healthy uptrend and strong momentum. During this phase, traders can take more swing trading opportunities with confidence.

Defensive Phase:

When price moves below a declining 21 EMA, it signals weak market conditions. During this phase, traders should reduce risk, avoid unnecessary trades, and maintain a larger cash position.

This approach helps protect capital during market corrections.

Trend Identification

A new uptrend is identified when:

- The declining 21 EMA starts flattening.
- Price breaks above the EMA.
- Momentum increases.

This sequence often marks the beginning of a strong trending move.

Practice:

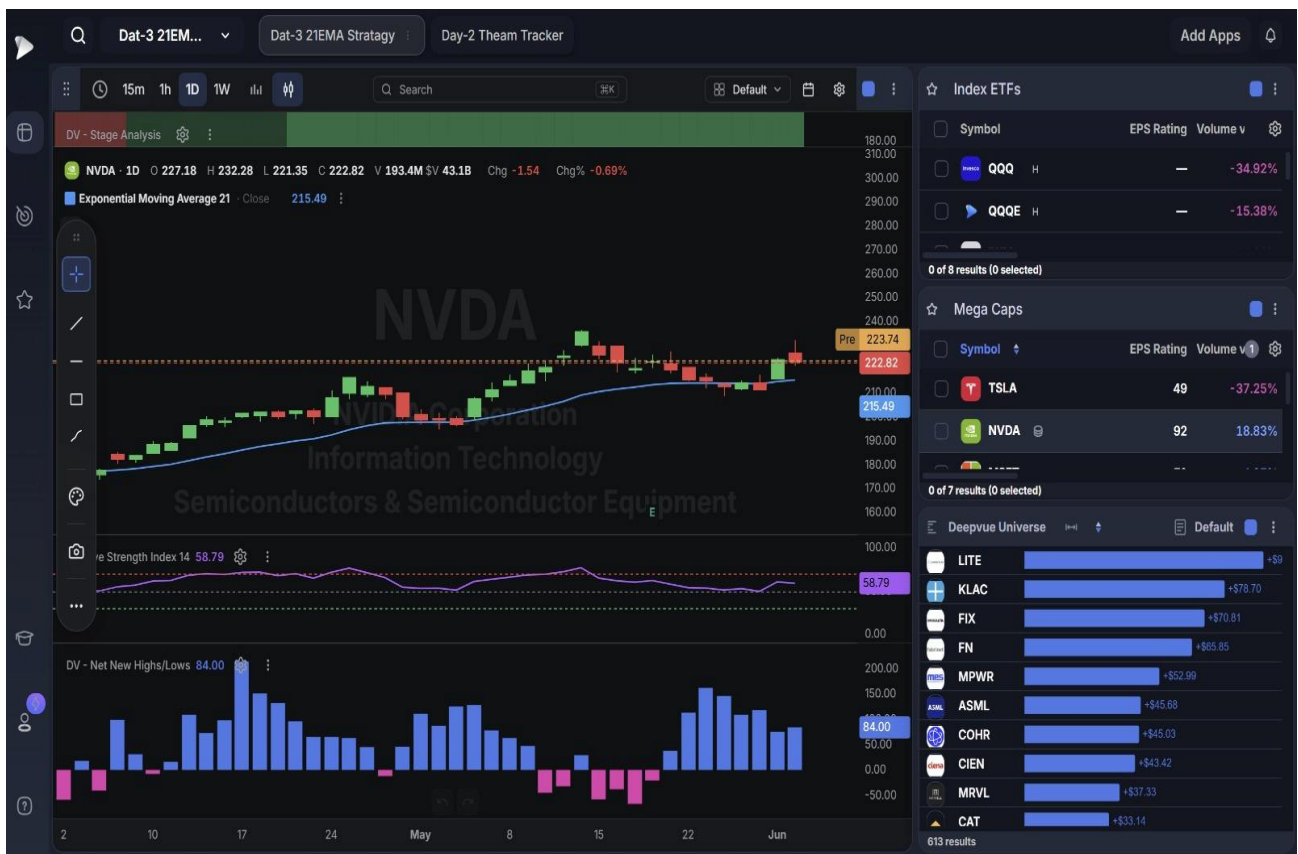
Deepvue Platform Implementation

The Deepvue platform was used to practically implement the 21 EMA strategy.

The platform helped in:

- Identifying trends
- Observing market cycles
- Understanding bullish and bearish phases
- Analyzing pullback opportunities

Practical implementation helped improve understanding of trend analysis and market behavior.



Conclusion

Day 3 of the internship mainly focused on understanding technical analysis and market psychology through candlestick patterns, support and resistance, and the 21 EMA strategy.

The practical chart analysis performed using TradingView and Deepvue helped connect theoretical concepts with real market movement. The session improved understanding of trend analysis, price action, confirmation signals, and disciplined trading behaviour.